

★ = high chance of appearing (ranked against past IBPS PO Mains papers and 2026 bank exams). Each answer is followed by the key fact and its source. Marking: +1.2 right, -0.30 wrong.

1. As per the Union Budget 2026-27 presented on 1 February 2026, the Centre's fiscal deficit for FY 2026-27 has been targeted at what percentage of GDP? ★

Ans (D) 4.3%

Budget speech (1 Feb 2026): fiscal deficit in BE 2026-27 is estimated at 4.3% of GDP, down from 4.4% in RE 2025-26.

2. What is the public capital expenditure outlay announced for FY 2026-27 in the Union Budget 2026-27? ★

Ans (B) Rs 12.2 lakh crore

Budget speech (1 Feb 2026): public capex raised to Rs 12.2 lakh crore for FY27, up from Rs 11.2 lakh crore in BE 2025-26 (about Rs 11 lakh crore in RE 2025-26).

3. Under the debt-based fiscal anchor in Budget 2026-27, the Centre aims to bring its debt-to-GDP ratio down to what level by 2030-31? ★

Ans (B) 50 ± 1%

Budget speech (1 Feb 2026) reaffirms the target of 50 ± 1% of GDP by 2030-31 (first set in Budget 2025-26); debt is estimated at 55.6% of GDP in BE 2026-27.

4. What nominal GDP growth rate for 2026-27 did the Union Budget 2026-27 assume in its estimates? ★

Ans (D) 10%

The Budget 2026-27 (Feb 2026) estimates assume 10% nominal GDP growth for FY27, according to the PRS Budget Analysis.

5. The Union Budget 2026-27 was built around three 'Kartavyas' (duties). Which of the following is NOT one of them? ★

Ans (B) Achieve a fiscal deficit of 3% of GDP by 2030-31

Budget speech (1 Feb 2026): the three kartavyas are growth, people's aspirations and capacity, and access for all (Sabka Sath, Sabka Vikas). None of them is a fiscal-deficit target.

6. In Budget 2026-27 the Government accepted the 16th Finance Commission's recommendation on vertical devolution. What share of the divisible pool goes to States, and who chairs the Commission? ★

Ans (D) 41%; Arvind Panagariya

The 16th FC, chaired by Arvind Panagariya, submitted its report on 17 Nov 2025 (tabled 1 Feb 2026). It retains the States' share at 41% for 2026-31, as under the 15th FC.

7. Which new criterion, carrying a 10% weight, has the 16th Finance Commission added to its horizontal devolution formula for 2026-31? ★

Ans (D) Contribution to GDP

PRS summary of the 16th FC report (Feb 2026): 'Contribution to GDP' (10%) replaces tax and fiscal efforts. Income distance, at 42.5%, has the largest weight.

8. The Income-tax Act, 2025, which Budget 2026-27 confirmed would come into force on 1 April 2026, replaces which law? ★

Ans (C) Income-tax Act, 1961

Budget speech (1 Feb 2026): the review of the Income Tax Act, 1961 is complete, and the Income Tax Act, 2025 comes into effect from 1 April 2026.

9. Budget 2026-27 raised the Securities Transaction Tax (STT) on the sale of futures from 0.02% to what rate? ★

Ans (A) 0.05%

Budget 2026-27 (Feb 2026) raised STT on futures from 0.02% to 0.05%. STT on options premium (0.1%) and on exercise of options (0.125%) both rose to 0.15%.

10. Budget 2026-27 cut the TCS on remittances under the Liberalised Remittance Scheme (LRS) for education and medical treatment from 5% to what rate? ★

Ans (D) 2%

Finance Bill 2026 (Feb 2026) cuts TCS on LRS remittances for education and medical treatment from 5% to 2%, and TCS on overseas tour packages to 2%.

11. Budget 2026-27 extended the tax holiday for eligible units in the International Financial Services Centre (GIFT City) and Offshore Banking Units from 10 years to how many years? ★

Ans (B) 20 years

Finance Bill 2026 (Feb 2026) extends the deduction to 20 consecutive years out of 25 for IFSC units and to 20 consecutive years for OBUs, with a 15% tax rate after that.

12. Under the GST rate rationalisation ('GST 2.0') that took effect on 22 September 2025, what are the two main GST slabs? ★

Ans (D) 5% and 18%

The 56th GST Council meeting (3 Sep 2025) moved to two main slabs of 5% and 18%, with a 40% special rate on luxury and sin goods, effective 22 Sep 2025.

13. What outlay did Budget 2026-27 announce for 'Biopharma SHAKTI', meant to make India a global hub for biologics and biosimilars? ★

Ans (D) Rs 10,000 crore over five years

Biopharma SHAKTI (Budget, Feb 2026) has Rs 10,000 crore over 5 years. It includes 3 new NIPERs, upgrades to 7 existing ones, and over 1,000 accredited clinical trial sites.

14. Budget 2026-27 raised the outlay of the Electronics Components Manufacturing Scheme from Rs 22,919 crore to what amount? ★

Ans (B) Rs 40,000 crore

Budget speech (Feb 2026): the ECMS, launched in April 2025, already had investment commitments at double its target, so its outlay was raised to Rs 40,000 crore.

15. Budget 2026-27 announced a dedicated Rs 10,000 crore fund to give equity support to high-potential 'Champion' MSMEs. What is it called? ★

Ans (A) SME Growth Fund

Budget 2026-27 (Feb 2026) created a Rs 10,000 crore SME Growth Fund. The Self-Reliant India Fund received only a Rs 2,000 crore top-up.

16. As part of financial sector reforms, Budget 2026-27 proposed restructuring which two public sector NBFCs to improve their scale and efficiency? ★

Ans (C) Power Finance Corporation and REC Ltd

Budget 2026-27 (Feb 2026) proposed restructuring PFC and REC as a first step for PSU NBFCs, and also a High Level Committee on Banking for Viksit Bharat.

17. The Economic Survey 2025-26, tabled in January 2026, projected India's real GDP growth for FY 2026-27 in which range? ★

Ans (D) 6.8% - 7.2%

Economic Survey 2025-26 (Jan 2026), Chapter 1: FY27 real GDP growth is projected at 6.8-7.2%, and FY26 growth is estimated at 7.4%.

18. On 27 February 2026, MoSPI released a new series of national accounts (GDP) estimates. What is the base year of this new series? ★

Ans (B) 2022-23

Economic Survey 2025-26 (Jan 2026): national accounts are being rebased to 2022-23 (from 2011-12), with the new series due on 27 Feb 2026.